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Ready for takeoff! Supply chain optimism growing, enabling greater value placed on backlogs

2026 Farnborough Airshow review

Our view: The 2026 Farnborough International Airshow was characterized by a strong demand outlook. However, perhaps more important than the strong demand commentary across A&D markets, many meetings highlighted better visibility and confidence in the supply chain. We have been down this path before several times over the past 6 years, only to see supply chain disappointment. However, while we are far from declaring supply chain victory, the industry has more confidence, and the downside surprise risk appears less. Across the first two days of the airshow, Boeing has garnered the majority of orders, securing 180 aircraft commitments (and 7 options), while Airbus has announced 119 orders/ MoUs. Together, nearly ~300 orders have been announced, falling short of some elevated forecasts, but the positive investor sentiment at Farnborough highlights that it is all about execution, as Airbus and Boeing are sold out into the 2030s. Moreover, expectations of an acceleration in defense bookings is increasing. We also heard about an accelerating M&A pace (although seller valuation expectations appear to be reflecting the increase in public equity valuations). We would highlight notably strong commentary from Airbus, GE, HXL, KRMN and LOAR.

The 2026 Farnborough Airshow was characterized by solid order activity with Boeing leading with 180 announced orders. Boeing's posture this year was notably different from the Paris Air Show 2025 (where it announced no orders), as the company signaled its production recovery and demonstrated strong demand for both its narrowbody and widebody offerings. However, we believe pressure on the stock reflects concern with the 777X, as Emirates signaled that it will not take delivery of the first 10 777X aircraft produced due to the extensive re-work required, which implies BA could face incremental pressure, or charges, on the program.

While commercial aerospace commentary and orders remained a focus, there was a strong focus on defense. As we previewed into the Airshow, defense was a key focus of the event given geopolitical conflicts and contract timing/uncertainty surrounding the FY27 defense budget. Defense companies made up half of the record 1,600 exhibitors, which in our view underscores the shift in industry dynamics. The focus on cost-effective solutions (sub-$2M interceptors, sub-$100K drone killers) reflects a shift from exquisite to affordable mass production. We were encouraged to hear that suppliers (DCO, KRMN) expect initial POs associated with the MAC program framework agreements in the next few months, and bookings activity should be a positive for sentiment coming out of 2Q26 results.

Commentary on the supply chain was cautiously positive. The emphasis on supply chain resilience was a major focus item at the airshow, with dedicated sessions on scaling manufacturing and supplier innovation. Boeing Commercial Airplanes CEO Stephanie Pope acknowledged that the supply chain is "still unstable" but emphasized the company is focused on "increasing the production pace." GE Aerospace CEO Larry Culp offered a more optimistic tone by noting that the supply chain has turned the corner. Airbus provided a robust 2029 outlook, under-pinned by increased supply chain confidence. BA continues to benefit from elevated MAX inventory levels (engines and fuselages), and we believe there is upside to current 2026 delivery expectations for both Airbus and Boeing. Commentary on the aerospace aftermarket was very bullish, and we expect this will be a source of upside in 2Q26 results.

M&A activity is increasing. Many of the companies we met with (DCO, LOAR, SARO, VSEC) highlighted a very robust M&A pipeline and activity levels. While sellers' valuation expectations have increased, the confidence in the outlook is supporting activity levels. We believe M&A activity can be a positive catalyst, and expect this to be a more important factor in 2H26-2027.

2026 Farnborough Airshow recap

While the order activity in this year's Farnborough Airshow may have fallen short of some elevated forecasts--and are below prior year order activity--we believe the order activity was still robust at ~300 total orders across Airbus and Boeing commercial programs. While Boeing was the winner in terms of order activity (~180 vs Airbus at ~120), we believe Airbus' business update was well-received by investors and the industry. We note the average number of orders gathered at the event since 2015 (excluding 2020-2021) has been ~700 aircraft orders. However, we can appreciate that industry backlog levels are at the highest levels, with the near-term focus on supply chain execution.

Exhibit 1 - Annual Airshow Orders

Aircraft Orders by Airshow										
			Farnborough					Paris		
Aircraft Type	**2026 (YTD)**	**2024**	**2022**	**2018**	**2016**	**2025**	**2023**	**2019**	**2017**	**2015**
737 NG	0	0	9	35	34	0	2	0	3	17
737 MAX	119	22	238	563	120	0	296	200	761	236
MAX 7	44	0	0	0	10	0	0	0	5	0
MAX 8	4	20	108	323	55	0	48	0	334	140
MAX 9	71	0	0	30	10	0	8	0	0	1
MAX 10	0	2	130	110	0	0	0	0	361	0
747	0	0	0	5	20	0	0	0	0	20
767	5	0	0	0	0	0	0	0	0	0
777	63	44	2	62	0	0	10	6	6	31
787	0	30	9	52	13	0	48	25	50	36
Boeing Total	**187**	**96**	**258**	**717**	**187**	**0**	**356**	**231**	**820**	**340**
Airshow (%) of Total	29.6%	16.9%	27.6%	65.8%	22.1%	0.0%	24.5%	93.9%	78.3%	38.7%
A220	0	0	12	180	0	40	9	85	0	0
A320	104	97	56	386	275	157	765	364	326	164
A319ceo	0	0	0	0	0	0	0	0	0	0
A319neo	0	0	0	0	0	0	0	0	0	1
A320ceo	0	0	0	0	10	0	0	0	39	36
A320neo	102	84	56	286	160	30	660	77	230	120
A321ceo	0	0	0	0	0	0	0	0	10	7
A321neo	2	13	0	100	105	127	105	287	47	0
A330	0	42	0	44	6	0	20	30	10	24
A350	15	25	0	35	11	53	55	0	10	31
A380	0	0	0	0	0	0	0	0	0	0
Airbus Total	**119**	**164**	**68**	**645**	**292**	**250**	**849**	**479**	**346**	**219**
Airshow (%) of Total	11.8%	18.7%	6.3%	60.3%	23.5%	25.0%	36.6%	29.1%	27.9%	20.6%
Airshow Total	**306**	**260**	**326**	**1,362**	**479**	**250**	**1,205**	**710**	**1,166**	**559**
Total Annual Orders	**1,205**	**260**	**2,018**	**2,159**	**2,089**	**2,175**	**3,775**	**1,891**	**2,286**	**1,940**

Source: Company reports, Cirium, FlightGlobal, and RBC Capital Markets

The 299 airshow orders represent ~19% of YTD industry orders, while the airshow has historically accounted for ~30% of total annual orders

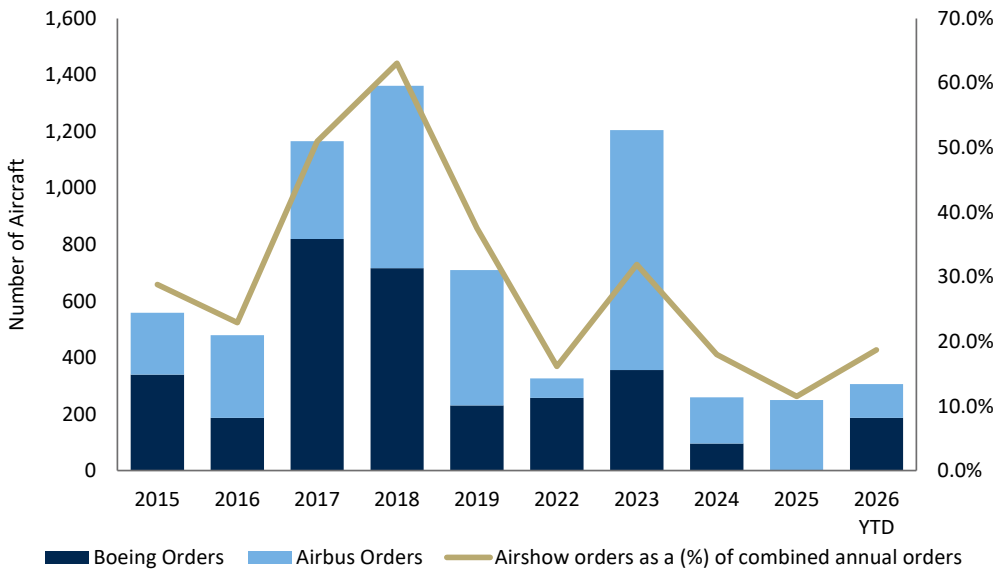
Exhibit 2 - 2026 Farnborough Airshow Orders

Farnborough Airshow 2026 Order Activity					
	Customer	Day	Firm/MOU Orders	Order Options	Total - Firm + Options
Boeing					
787	Riyadh Air	1	28	0	28
737	SMBC Aviation Capital	1	100	0	100
787	Philippine Airlines	1	15	5	20
787	AerCap	2	15	0	15
737	Luxair	2	2	2	4
777	MSC Air Cargo	2	5	0	5
737	Uganda Airlines	2	4	0	4
787	Uganda Airlines	2	4	0	4
737	Skymark	2	7	0	7
Boeing Subtotal			**180**	**7**	**187**
Airbus					
A320neo	SMBC Aviation Capital	1	100	0	100
A350	Riyadh Air	1	6	0	6
A350	Philippine Airlines	2	9	0	9
A320neo	Shohin Airlines	2	2	0	2
A321neo	Shohin Airlines	2	2	0	2
Airbus Subtotal			**119**	**0**	**119**
Total			**299**	**7**	**306**

Source: Company reports and RBC Capital Markets

Boeing leads Airbus in aircraft orders this year, a contrast from 2025, when Boeing did not garner/publicize aircraft orders given the focus on execution

Exhibit 3 - Airshow Orders as (%) of Total Annual Orders

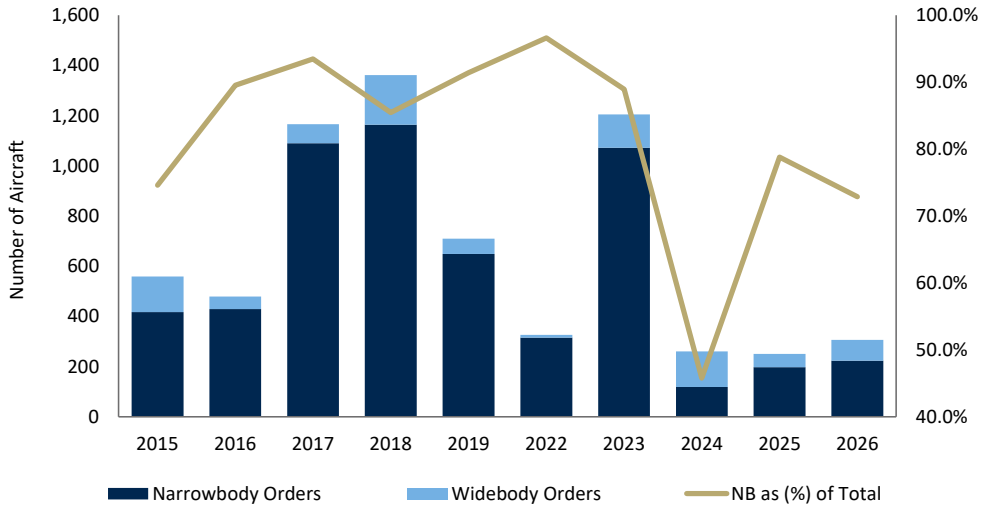


Source: Company reports, Cirium, FlightGlobal, and RBC Capital Markets

In addition to the aircraft orders, the 1,000 Leap engine order from IndiGo is also important to highlight. This does represent CFM's largest ever Leap engine order, but the order also comes from a legacy Pratt & Whitney GTF engine operator.

The ~300 orders/options in the airshow is characterized by ~73% narrowbody and ~27% widebody aircraft, with a greater skew to widebody aircraft vs historical trends

Exhibit 4 - Airshow Orders by Type



Source: Company reports, Cirium, FlightGlobal, and RBC Capital Markets

While investor interest and attention in airshows have historically been more focused in commercial aerospace, we believe that, similar to last year, there was a slightly greater focus on defense given the geopolitical landscape, the expected European defense spending ramp, and greater investments in the industry. We believe confidence in a pick-up in 2H26 US defense contract activity continues to grow, as exhibited from KRMN and DCO management. Overall, we believe the industry is optimistic on the outlook in both commercial aerospace as supply chain cautiously improves, as well as the defense spending outlook, with a greater focus on lower-cost attritable systems (LCCM, UAS).

Exhibit 5 - Stock Performance Surrounding Airshow

Stock Performance Surrounding the Airshows									
		2015-2025 Average (excludes 2020-2021)					2026 to date		
Company	**Ticker**	**Month before**	**Week before**	**Week of**	**Week after**	**Month after**	**Month Before**	**Week before**	**Week of (to date)**
Airbus	AIR-FR	0.0%	1.4%	0.7%	1.4%	3.8%	3.9%	(1.5%)	0.1%
Albany International	AIN	2.5%	0.8%	2.2%	2.3%	4.9%	5.9%	2.7%	1.8%
Arxis Inc.	ARXS	NA	NA	NA	NA	NA	3.4%	0.1%	5.9%
ATI Inc.	ATI	2.2%	0.7%	3.1%	2.9%	7.0%	(5.4%)	(0.5%)	5.9%
Boeing	BA	1.7%	1.0%	2.0%	(0.1%)	2.3%	(5.1%)	(3.7%)	(4.3%)
Carpenter Technology	CRS	3.2%	2.5%	4.2%	3.3%	4.7%	(3.1%)	(3.6%)	5.6%
Ducommun	DCO	1.2%	0.1%	1.3%	1.1%	6.5%	3.0%	2.1%	3.9%
GE Aerospace	GE	1.5%	0.1%	0.8%	1.1%	0.9%	(2.3%)	(2.9%)	(2.3%)
Hexcel	HXL	1.0%	(1.0%)	1.7%	2.4%	3.9%	4.0%	4.7%	4.7%
Howmet	HWM	1.4%	(1.0%)	3.3%	5.4%	7.5%	(3.8%)	0.6%	2.4%
Moog Inc.	MOG.A	3.3%	(0.1%)	0.9%	0.5%	3.8%	(4.4%)	(3.4%)	3.1%
RBC Bearings	RBC	4.5%	0.4%	2.1%	1.2%	3.7%	(8.1%)	(3.4%)	1.8%
RTX	RTX	0.6%	(0.0%)	2.0%	0.4%	1.2%	0.5%	(1.2%)	0.1%
Safran	SAF-FR	1.2%	0.4%	2.2%	(0.0%)	1.8%	1.7%	(2.0%)	(2.0%)
Woodward	WWD	3.0%	(0.3%)	2.4%	(0.4%)	0.0%	(9.6%)	(3.3%)	3.6%
S&P 500	SP50	1.7%	0.3%	0.5%	0.9%	2.9%	0.5%	(1.6%)	0.7%
SPRD S&P A&D ETF	XAR	2.1%	0.3%	1.3%	1.2%	3.6%	(9.5%)	(4.7%)	2.5%
Average - Absolute Performance									
Airframe OEMs	AIR-FR, BA	0.8%	1.2%	1.3%	0.6%	3.0%	(0.6%)	(2.6%)	(2.1%)
Engine OEMs	GE, RTX, SAF-FR	1.1%	0.2%	1.7%	0.5%	1.3%	(0.0%)	(2.0%)	(1.4%)
Suppliers	Remaining stocks	2.5%	0.2%	2.3%	2.1%	4.7%	(1.8%)	(0.4%)	3.9%
Total Average	**All stocks**	**2.0%**	**0.4%**	**2.1%**	**1.5%**	**3.7%**	**(1.3%)**	**(1.0%)**	**2.0%**
Average - Relative Performance (S&P 500)									
Airframe OEMs	AIR-FR, BA	(0.9%)	0.9%	0.8%	(0.2%)	0.2%	(1.1%)	(1.0%)	(2.8%)
Engine OEMs	GE, RTX, SAF-FR	(0.6%)	(0.1%)	1.1%	(0.4%)	(1.6%)	(0.5%)	(0.5%)	(2.1%)
Suppliers	Remaining stocks	0.8%	(0.1%)	1.8%	1.2%	1.8%	(2.3%)	1.2%	3.2%
Total Average	**All stocks**	**0.2%**	**0.1%**	**1.5%**	**0.7%**	**0.8%**	**(1.8%)**	**0.5%**	**1.3%**

Source: FactSet

Company Meeting Highlights

We met with management and business representatives across our coverage in addition to several uncovered names, with key takeaways below.

ATI (ATI) – Not Covered

The discussion focused on capacity positioning relative to Boeing and Airbus production aspirations. ATI is sole-sourced on 5–7 alloys in the engine core and is also vertically integrated with its own Hafnium supply. The company has also announced a nickel capacity expansion which, in combination with other investments, is expected to add high-teens percentage capacity growth. Capacity is added in step functions, and it takes ~3 years for new capacity to kick in after processes for build-out, testing, and certification. Customer-funded capital is a major focus given the investment requirements to support the expected higher production rates. Management also believes there is room for price capture as new contracts roll over from pre-COVID terms. In addition, LTAs mitigate investment risk for the company and protect against the scenario of VSMPO coming back online and flooding the market with titanium.

Ducommun (DCO)

Ducommun's Engineered Products (EP) portfolio now represents 25% of revenue, and management expects greater margin improvement with margins up 700 bps under current CEO Steve Oswald. On Boeing programs, the 787 constraint remains engines (GEnx), though management believes Boeing could still reach 10/month by year-end vs. 8/month currently for DCO.

In addition, the opening of the North line (formerly the 787 line) was viewed positively, increasing confidence in the planned 42/month to 47/month 737-MAX rate expected to be

achievable. DCO's revenue recognition on the MAX is tracking at low-30/month rate, but DCO has capacity to support 57/month on the MAX.

Management believes the structures manufacturing business presents an opportunity with very few competitors at scale, and management highlighted that margins for the non-EP portfolio could be higher than current investor expectations. On defense, the missile opportunity is growing, and management wouldn't be surprised if primes pre-buy on some of the framework agreements in the next year. On M&A, management noted that the company is increasingly finding deals outside of banking processes, with a preference for sole-sourced IP in defense markets.

On new capabilities, while the PAC-3 interceptor presents an opportunity for the company going forward, we believe it is currently in the early innings of attempting to gain content on the program. The SPY-6 remains a strong opportunity with land-based potential, as well as solid rocket motors (SRMs). More broadly, management believes that the company is close to replicating the RTX playbook with NOC, while LMT remains challenging.

GE Aerospace (GE)

GE Aerospace remains very confident in the near-term outlook, and like other aftermarket companies, is not seeing a change in customer spending. The company highlighted ~20% parts delinquency within its MRO network, a sequential deterioration that was generally widespread and somewhat of a surprise even for GE internally. Demand remains firmly in excess of supply — orders were up ~29% last year, ~34% this year, representing a 50%+ two-year stack (spare parts). The delinquency is meaningful, and management does not expect to fully clear it in 2H26, with some expected to be carried into next year.

On the 2027 outlook, management expects similar pricing dynamics, with volume expected to be the major driver followed by mix. Looking ahead, GE has sufficient LEAP production capacity through 2030. On the GE9X, a fix has been developed for the recent cracks found, and manufacturing of the new hardware is underway, with deliveries and certification expected in 3Q26. Revenue per shop visit is expected to be higher, with work scopes largely stable on the CFM56. GE does not need significant capacity growth to support second CFM56 shop visits, as these generally get sourced to third-party providers.

On the LEAP-1B HPT blade transition, GE will likely execute a clean cutover on January 1, 2027, similar to its approach with the LEAP-1A. Management does not want to phase the transition earlier because of the debate on customer allocation, but GE will build inventory in advance of the cutover.

On capital allocation, dividends remain below target levels, with net leverage at ~1x. Management wants to stay very close to its core on M&A and remain disciplined on capital allocation, likely continuing to find share buybacks as the primary return mechanism.

On next-gen engine development, there is more testing underway generally, and things are in full swing with Airbus. The goal is to conduct a ground test within the next couple of years. Management believes the open-fan architecture is fundamentally better — runs cooler, is more durable, ingests less dust — and there are no signs that it will not work, with 2027 ground tests expected to provide more confidence and information. GE believes Boeing needs to clear out R&D commitments on the 737-7, 737-10, and 777X before it can focus more on next-generation platforms. Any new airframe design that is sufficiently different could force Airbus to be sole source on engines, though it is too early to draw firm conclusions.

Loar Group (LOAR)

LOAR continues to execute on its acquisition playbook with a high degree of confidence. Management indicated that it sees volume and pricing opportunities for both its Harper and LMB acquisitions, with EBITDA expected to double in ~3-years with Harper and ~4 years with LMB. On pricing, management noted that catalog pricing increases are dynamic with inflation-plus pricing broadly supported by customers despite some initial pushback. Separately, the company is also exploring an "LMB North America" facility for additional volume expansion. In addition, management is making capacity additions in Tennessee, Dallas, and Germany to support the company's organic growth profile.

On M&A, management noted that while valuations remain elevated, the size of the M&A universe remains large, and the company is still targeting a ~2 deals/year cadence. Notably, the deal sourcing dynamic has shifted, with customers and potential sellers reaching out proactively. Management also noted that the current business mix supports ~50% EBITDA margins, and every incremental capability added through M&A is expected to drive greater operating leverage across the portfolio.

Overall end market growth remains strong, as management highlighted that commercial aerospace is firing across all cylinders, business jets are seeing ~4% growth in takeoffs and landings, and the defense outlook remains robust despite lumpy organic growth in 1H26.

Moog (MOG.A) – Not Covered

While management highlighted ~18-month build rate lead times across its portfolio, it expressed caution on overbuilding, preferring to closely watch industry demand signals. Management remains confident in Airbus achieving 12 aircraft/month on the A350 but noted that Airbus appears to be moving a bit slower than initially anticipated.

On segments, management highlighted that Space represents ~$500M in revenue for the company (and ~80% of the segment is defense focused), with capabilities including launch vehicle steering work (post-launch and during launch), altitude propellant systems for satellites/ launch vehicles, and satellite builds for customers such as LHX. Management pointed out that missile exposure remains a growing opportunity, with programs including THAAD, SM-3/6, PAC-3, and some torpedo exposure. The missile business has been growing 20%+ for the past three years, with further acceleration anticipated. While framework agreements are not yet in place, management expects to see POs by year-end. In addition, management is leaning into commercial pricing on defense components, and the company is also positioned on 8-10 CCA opportunities.

On a FCF basis, the company benefits from advances on procurement. On margins, management discussed its 80/20 deployment strategy and is targeting ~100 bps per year of margin expansion as outlined at its prior investor day, with another investor day expected before year-end. While the company did lose some share on the A350, management was unwilling to operate at break-even for as long as Airbus wanted.

StandardAero (SARO)

Management indicated it has not received a single call from an airline signaling any slowdown as demand remains robust. Management believes it would take 9–12 months of sustained elevated crude before conversations begin regarding a slowdown in MRO with its customers. Secondary market pricing has not changed, which management views as confirmation that demand remains very high, with USM supply remaining constrained.

On supply chain, the company sees some improvement, but continued delays — certain castings and forgings that were delayed ~110 days last year are now being delayed roughly

~50 days, for example. SARO's focus is on the depth of delay (how many days parts are late) rather than delinquency, and the depth of delay remains substantially worse than pre-COVID levels.

On capacity and the revenue outlook, SARO now has all the direct and indirect labor in place to support the future ~$1B of LEAP revenue. The company is bidding and winning work that meets its margin targets, with plenty of demand to support continued growth. The total Leap engine TAM for SARO is now much larger than the ~$60B the company initially called out as part of the Leap investments.

The TFE731 continues to be a strong engine platform in terms of utilization. On the commercial structure front, airlines want power-by-the-hour (PBTH) arrangements, and while OEMs are structuring work through CBSAs where the OEM takes slightly more risk and airlines are happier, these are still not full PBH contracts, which SARO believes is a net neutral for the company.

The M&A pipeline is busier than usual, with a focus on deals within the CRS segment and specialty process shops. Management has passed on a few smaller deals to chase larger ones, and pricing on deals has been reasonable.

VSE Corp (VSEC)

Management acknowledged that aftermarket backlogs across the board remain healthy (with engine backlog seeing the greatest strength); however, airlines retain the ability to cancel MRO and spare part orders. While BJ/GA segments represent ~50% of the business, management is particularly focused on the charter planes vs. the Gulfstreams, as this tends to be more stable in an environment with greater economic instability. The company is also building out its engine tear-down capability and capacity, positioning itself to monetize aircraft retirements as they materialize. The PT6 remains a strong growth opportunity for the company.

Woodward (WWD)

Woodward's aftermarket outlook remains constructive despite the ongoing Iran conflict, and management highlighted that even as the conflict extends, backlogs remain significant with solid momentum in execution. WWD does not expect to see an impact from conflict-driven disruption into 2027, though the potential shortage of fuel remains a focus area. Looking ahead to FY27 and FY28, management noted that while there may be some impact on the CFM56-5B, retirements for the V2500 seem lower than anticipated, and LEAP acceleration should offset any deceleration in CFM56-5B and V2500 growth. WWD's content is on-condition, and it is challenging to assess work scope change when a -1A comes in on LEAP. In our view, this suggests that growth on LEAP is likely smaller relative to GE. Separately, LRU rebounding post-COVID and post-MAX grounding remains a positive, driven in part by fleet aging and route mix changes.

On potential headwinds, management does not see airline inventory de-stocking as a material risk to its business. On the A350, we note that WWD is not viewed as a focus for displacement relative to other aspects of the plane, and the company sees greater opportunities for share gains on the airframe versus the engine for the NGSA program.

Separately, the company noted that third-party repair partnerships (Air France-KLM, Lufthansa) have been put in place by an overwhelming need for investment, and we believe WWD is likely providing limited volume guarantees. On defense, the company expects to see steady demand for its smart defense capabilities (JDAM, AIM-9X, SDB). Looking ahead, on increased USM on the LEAP-1A, the new narrowbody is not expected to move to the left of

2030, which gives WWD time to deepen relationships, including a potential opportunity to work with a third engine offering (Rolls-Royce).

Companies mentioned

Airbus SE (NXT PA: AIR FP; €194.60; Outperform)
Ducommun Incorporated (NYSE: DCO US; $175.11; Sector Perform)
GE Aerospace (NYSE: GE US; $340.70; Outperform)
Hexcel Corporation (NYSE: HXL US; $108.67; Outperform)
Karman Holdings Inc (NYSE: KRMN US; $46.67; Outperform)
Loar Holdings Inc (NYSE: LOAR US; $70.37; Outperform)
Lockheed Martin Corporation (NYSE: LMT US; $507.09; Sector Perform)
Northrop Grumman Corporation (NYSE: NOC US; $512.29; Outperform)
RTX Corporation (NYSE: RTX US; $193.67; Outperform)
StandardAero, Inc. (NYSE: SARO US; $27.12; Outperform)
The Boeing Company (NYSE: BA US; $204.80; Outperform)
VSE Corporation (NASDAQ: VSEC US; $202.53; Outperform)
Woodward, Inc. (NASDAQ: WWD US; $406.87; Outperform)

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As of 30-Jun-2026

			Investment Banking Serv./Past 12 Mos.	
Rating	Count	Percent	Count	Percent
BUY [Outperform]	927	57.94	290	31.28
HOLD [Sector Perform]	626	39.12	161	25.72
SELL [Underperform]	47	2.94	3	6.38

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